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Case Number: 22STCV30356 Hearing Date: September 14, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department 508

UTOMO TANI aka JIMMY TANI,

Plaintiff,

vs.

KAM CHOI LIN, et al.,

Defendants.

AND RELATED CROSS-ACTIONS

Case No.:

22STCV30356

Hearing Date:

September 14, 2026

Hearing Time: 2:30 p.m.

[TENTATIVE] ORDER RE:

RECEIVER'S MOTION
FOR ORDER

- (1)
APPROVING AND SETTLING THE RECEIVER'S FINAL REPORT
AND ACCOUNTING;
- (2)
APPROVING FINAL COMPENSATION AND REIMBURSEMENT OF
EXPENSES;
- (3)
APPROVING RECEIVER'S RECOMMENDED DISTRIBUTION OF
FUNDS;
- (4)
EXONERATING ALL BONDS;
- (5)
TERMINATING THE RECEIVERSHIP APPOINTMENT; AND
- (6)
RETAINING JURISDICTION RE THIS RECEIVERSHIP
APPOINTMENT

Background

On

September 15, 2022, Plaintiff Utomo Tani aka Jimmy Tani ("Tani" or "Plaintiff") filed this action against Defendants Kam Choi Lin ("Lin"), Chang Ho Chen ("Chen"), Wei Lin Zheng ("Zheng"), Wai Hung Szeto ("Szeto"), and Yan Xian Li ("Li") (collectively, the "Original Defendants"). Golden Partner Global Investment, Inc., doing business as NBC Seafood Restaurant ("GPG") is listed as a nominal defendant.

The

Complaint alleges ten causes of action for (1) breach of fiduciary duty, (2) constructive fraud, (3) intentional misrepresentation (fraud), (4) negligent

misrepresentation, (5) fraud by concealment, (6) conversion, (7) constructive trust, (8) unjust enrichment, (9) inspection of records, and (10) involuntary dissolution of corporation (Corporations Code section 1800).

On

September 16, 2022, the case was assigned to Department 19 at the Stanley Mosk Courthouse.

On

November 9, 2022, Li aka Kristal Li filed their Cross-Complaint against Tani and Roes 1-20. On December 29, 2023, Li filed their operative Second Amended Cross-Complaint against Tani, alleging three causes of action for (1) retaliation for engaging in protected activity/discrimination based on sex, (2) hostile work environment, and (3) intentional infliction of emotional distress.

On

November 10, 2022, Lin, Chen, Zheng, and Szeto filed their Cross-Complaint against Tani, Goodland Global Farm Inc., and Roes 1-20. On August 11, 2023, Lin, Chen, Zheng, and Szeto filed the operative First Amended Cross-Complaint, alleging 11 causes of action: (1) breach of fiduciary duty, (2) accounting, (3) declaratory relief, (4) conversion, (5) constructive fraud, (6) intentional misrepresentation/fraud, (7) negligent misrepresentation/fraud, (8) fraud by concealment, (9) unjust enrichment, (10) inspection of records, and (11) breach of oral contract.

On

May 24, 2023, Plaintiff filed a "Motion for Injunctive Relief and Alternatively for the Appointment of Receiver Over [GPG]" (hereafter, the "Motion to Appoint Receiver").

On

April 12, 2024, Department 19 granted the Motion to Appoint Receiver, ordering as follows:

1. The status

quo of the business of Golden Partner Investment Inc. d/b/a NBC Seafood Restaurant must be maintained;

2. Any named

defendant or any other person or entity controlled by a named defendant is prohibited from collecting or taking any cash derivative of restaurant operations of the NBC Seafood Restaurant; and

3. All

defendants and any person or entity controlled by a named defendant is prohibited from taking any monetary compensation from income derivative of restaurant operations of NBC Seafood Restaurant.

In addition,
the Court orders the appointment of a limited purpose Receiver.

The Court
orders that Plaintiff file an undertaking in support of the preliminary injunction within ten (10) days hereof. The Court orders a bond in the amount of \$10,000. (Code of Civ. Proc. section 529).

The receiver
must file an undertaking. Once a receiver is appointed by the Court, an undertaking in the amount of \$10,000 will be ordered to be posted. (Code of Civ. Proc. sections 566 and 567).

The parties
are ordered to meet and confer with respect to the selection of the Receiver. The parties are ordered to stipulate to one Receiver, or if an agreement cannot be reached, then each party shall file and serve the names of no more than three (3) proposed Receivers, including providing a Resume, information regarding their background, experience, other relevant qualifications, and the hourly rate by April 24, 2024. The Court will select the Receiver based upon the submissions and information presented.

The Court
sets a Non-Appearance Case Review Re: Selection of A Receiver For May 1, 2024. The Court sets a Status Conference Re: Receiver for June 8, 2024, at 8:30 a.m.

Order signed
this date." (Minute Order 4/12/2024, pp. 1-2.)

On April 30, 2024, the Original Defendants
appealed Department 19's Order granting Plaintiff's Motion to Appoint Receiver.

On

May 8, 2024, during a Non-Appearance Case Review Re: Selection of a Receiver, the court in Department 19 noted the Original Defendants had neither proposed a receiver nor perfected their appeal of the order granting the Motion to Appoint Receiver. Therefore, the court granted Plaintiff's unopposed request to appoint Kevin Singer as the receiver ("Receiver") at NBC Seafood Restaurant. (Singer Decl., ¶ 3; See 5/8/24 Order.) Subsequently, the Receiver filed his Oath of Receiver, posted his \$10,000 bond, and assumed his duties. (Singer Decl., ¶ 3.)

On March 14, 2025, the case was transferred to this Court (Department 508).

On November 7, 2025, the Court dismissed the Complaint "for Plaintiff's repeated failure to obey Court orders and failure to appear." (Minute Order 11/7/25, p. 1.)

On November 26, 2025, Kevin Singer (the "Receiver") filed the instant motion moving for "an Order (1) approving and settling the Receiver's final report and accounting, (2) approving final compensation and reimbursement of expenses, (3) approving the Receiver's recommended distribution of funds, (4) exonerating all bonds, (5) terminating the Receivership appointment, and (6) retaining jurisdiction regarding this Receivership appointment." (Notice of Mot., 2:5-8.)

On December 17, 2025, the Court of Appeal, in an unpublished opinion, reversed Department 19's order granting Plaintiff's Motion to Appoint Receiver, holding inter alia:

Tani

obtained a preliminary injunction that requires the status quo of the business of [the Restaurant] to be 'maintained.' He also procured the appointment of a receiver who was ordered initially to take over the Restaurant's collection of income, its spending, and its banking activity and later, its entire operations. Because Tani never served the Restaurant, the trial court had no jurisdiction over the Restaurant when it made these orders, and as to the Restaurant, the orders are void.

(Court of Appeal Opinion, pp. 13-14; see also id. at p. 16 ["We conclude that substantial evidence did not support the trial court's finding that Tani satisfied [Corporations Code] section 1800, subdivision (a)'s ownership requirement. Accordingly, the trial court abused its discretion in finding that

he demonstrated a likelihood of success on the merits of his dissolution claim as necessary for the issuance of a preliminary injunction. Further, because Tani failed to establish his standing to assert a dissolution cause of action, the trial court abused its discretion in appointing a receiver. (See *Rondos v. Superior Court* (1957) 151 Cal.App.2d 190, 195 [“Where a complaint fails by its allegations to show that the conditions required by law have been complied with[,] an order for the appointment of a receiver is void for all purposes”]).)

On February

13, 2026, the Receiver filed a “Supplement to Motion for Order Approving Final Accounting and Discharge” (the “Supplement to Motion”), arguing that even though the appellate court reversed the order granting the Motion to Appoint Receiver, he is still entitled to compensation under Code of Civil Procedure section 917.5 and *Andrade v. Andrade* (1932) 216 Cal.108 (*Andrade*).

On March

2, 2026, specially appearing party GPG filed its opposition to the Receiver’s Motion to Approve Final Accounting. Defendants Lin, Chen, Zheng, and Szeto (collectively, “LCZS”) filed a separate opposition,[1] making the same arguments as GPG’s opposition.

On March

6, 2026, the Receiver filed an Omnibus Reply to the oppositions.

On March

9, 2026, LCZS filed an Objection and Request to Strike Receiver’s Reply, arguing that it improperly seeks new relief and advances a new liability theory (i.e., the Court should charge the parties personally because they benefited from the receivership). They contend that the Court should disregard the new reply or grant them leave to file a sur-reply.

On March

12, 2026, the remittitur was issued.

On March

13, 2026, the Court continued the hearing on the instant motion to approve final accounting to April 28, 2026.

On March

24, 2026, GPG and specially appearing non-party Kent Tran (“Tran”) filed two separate briefs, asking that, in ruling on the instant motion to approve final accounting, the Court should consider their oppositions filed on March 2 and March 9, 2026, respectively.

At the May

6, 2026 hearing on the instant matter, the parties saw and heard the Court’s previous tentative Order, but the Court did not adopt it at that time. Given the complexity of the issues, the Court ordered supplemental briefing from the parties to answer various lingering questions, inter alia, (1) whether the Court’s lack of personal jurisdiction, rather than lack of subject matter jurisdiction, changes the Court’s analysis under *Sullivan v. Gage* (1905) 145 Cal. 759 (overruled on other grounds in *Metropolitan Water Dist. of Southern Cal. v. Marquardt* (1963) 59 Cal.2d 159) (*Sullivan*), (2) whether the Court may charge fees against Tani, the party that procured the appointment, (3) whether the Court may allocate the cost of the receivership among the Defendants and other remaining parties, (4) whether the Court may or must order disgorgement of the previously awarded fees, (5) the impact of GPG’s dissolution on allocating funds and appearing in the instant motion, and (6) the disposition of the \$150,000 the Receiver presently holds.

On June

29, 2026, Lin, Chen, Zheng, Szeto, Tran, and GPG (collectively, “Opposing Parties”) filed their supplemental brief. On July 20, 2026, the Receiver filed his supplemental brief. On July 30, 2026, Opposing Parties filed a reply.

Legal Standard

Code of Civil

Procedure section 568 provides

that “[t]he receiver has, under the control of the court, power to bring and defend actions in his own name, as receiver; to take and keep possession of the property, to receive rents, collect debts, to compound for and compromise the same, to make transfers, and generally to do such acts respecting the property as the court may authorize.” Receivers are entitled to compensation for their own services and the services performed by their attorneys. (Venza v. Venza (1951) 101 Cal.App.2d 678, 680.) Generally, the costs of a receivership are paid from the property in the receivership estate. (Andrade, supra, at p. 110.)

However, Courts may impose the receiver's costs on a party who sought the appointment of the receiver or apportion them among the parties for whose benefit the receivership was created, depending upon the equitable circumstances presented. (Stanton v. Pratt (1941) 18 Cal.2d 599, 603.)

"Courts generally are vested with large discretion in determining who shall pay the cost and expenses of receiverships. The court may assess the costs of a receivership against the fund or property in receivership or against the applicant for the receivership, or it may apportion them among the parties, depending upon circumstances." ((Baldwin v. Baldwin (1947) 82 Cal.App.2d 851, 856.)

In People v. Riverside University (1973) 35 Cal.App.3d 572, 587, the Court of Appeal noted that "[i]t is settled that fees awarded to receivers are in the sound discretion of the trial court and in the absence of a clear showing of an abuse of discretion, a reviewing court is not justified in setting aside an order fixing fees."

In addition, pursuant to California Rules of Court, rule 3.1183, subdivision (a), "[i]nterim fees are subject to final review and approval by the court. The court retains jurisdiction to award a greater or lesser amount as the full, fair, and final value of the services received." California Rules of Court, rule 3.1183, subdivision (b) provides that "[u]nless good cause is shown, objections to a receiver's interim report and accounting must be made within 10 days of notice of the report and accounting, must be specific, and must be delivered to the receiver and all parties entitled to service of the interim report and accounting." And, per the Court's April 11, 2024 Order appointing the Receiver, "[f]ailure of a Party to object within this 10-day period shall constitute a waiver of that party's objection(s) to the fees for that period." (Order 4/11/24, ¶ 9.)

Discussion

As an initial matter, the Court denies LCZS's request to strike the Receiver's Omnibus Reply.

A. Receiver's Request and Preliminary Arguments

The instant motion to Approve Final Accounting seeks, among other things, an order awarding the Receiver fees of \$542,851.00 and expenses of \$14,660.57 incurred during his final receiver

services, the preparation of his final accounting, and this motion. (Mot., 6:8-10.)

The Receiver explains that “[o]n November 7, 2025, the Court dismissed Plaintiff Utomo Tani’s (‘Plaintiff’) complaint with prejudice for repeatedly failing to appear. Because my appointment arose from Plaintiff’s complaint, the Court directed me to return control of the Business to Defendants ... by November 14, 2025, and to file the instant Motion by November 26, 2025. I timely transitioned control of the Business back to the Defendants.” (Singer Decl., ¶ 4.)

In the Receiver’s declaration in support, he explains that, to date, he has “been paid \$499,718.17 toward my total fees and expenses of \$557,511.57 for this appointment. There remains an outstanding balance owed to me in the amount of \$57,793.40 (\$557,511.57 - \$499,718.17) (‘Receiver’s Outstanding Balance’), which amount is the sum of my October 2025, partial November 2025, and final accounting invoices, and which can be paid in full from the funds in my possession.” (Singer Decl., ¶ 7.) The Receiver “currently holds \$150,000 in his trust account, which amount I held back upon turning over control of the Business and its accounts to the Defendants in order to cover the Receivership Estate’s remaining liabilities... After payment of the Receiver’s Outstanding Balance and any fees and expenses incurred after November 25, 2025, I recommend that all remaining funds in his trust account be returned to the Business pursuant to Defendants’ instructions.” (Singer Decl., ¶ 8.)

“As a general proposition the costs of a receivership are primarily a charge upon the property in the receiver’s possession and are to be paid out of said property.” (Andrade, *supra*, 216 Cal. at p. 110.)

However, in the Receiver’s supplemental declaration, he explained that since filing the instant motion—the final report on November 26, 2025—“the Court of Appeal reversed the Receiver’s appointment on procedural grounds, holding that the Restaurant was never served with a copy of the summons and complaint, and that the record did not contain substantial evidence that Utomo Tani met the 33.33% share-ownership threshold required by California law.” (Supp. Mot. 2/13/26, 2:8-11.) The Court of Appeal’s Order found that the appointment of a receiver was an abuse of discretion. (See *Rondos v. Superior Court* (1957) 151 Cal.App.2d 190, 195 [“Where a complaint fails by its allegations to show that

the conditions required by law have been complied with, an order for the appointment of a receiver is void for all purposes.”].)

Specifically, GPG points out that “[o]n December 17, 2025, the Court of Appeal of the State of California, Second Appellate District, Division Four (the ‘Appellate Court’) issued a published decision conclusively determining that: (1) the trial court never acquired jurisdiction over Golden Partner Global Investment, Inc. dba NBC Seafood Restaurant (‘GPG-NBC’) because it was never served; (2) the April 12, 2024 receivership and preliminary injunction order was therefore void ab initio; and (3) independent of jurisdiction, the statutory prerequisites for a receivership under Corporations Code § 1800 and injunctive relief were never satisfied. Exhibit A – 12/17/25 Court of Appeal Decision.” (GP Opp., 1:5-11, emphasis omitted.)

In his initial supplement to motion, the Receiver cites Code of Civil Procedure section 917.5. Under Code of Civil Procedure section 917.5, “[t]he perfecting of an appeal shall not stay enforcement of the judgment or order in the trial court if the judgment or order appealed from appoints a receiver, unless an undertaking in a sum fixed by the trial court is given on condition that if the judgment or order is affirmed or the appeal is withdrawn, or dismissed, the appellant will pay all damages which the respondent may sustain by reason of the stay in the enforcement of the judgment.” Accordingly, the Receiver asserts that “an appeal does not stay enforcement of an order appointing a receiver unless the appellant posts an undertaking. Here, no undertaking was posted, no stay was obtained, and the Receiver’s appointment remained in full force throughout the pendency of the appeal. Section 917.5 provided Appellants with the opportunity to stay the receivership, which they chose not to pursue. As a result, the Receiver acted in good faith in administering the Estate for approximately eighteen months while the unstayed appeal was pending. Because no party sought to stay the proceedings, none should be allowed to object to the Receiver’s compensation, which must be paid.” (Supp. Mot. 2/13/26, 2:19-26.) GPG asserts in opposition that “CCP § 917.5 presumes a valid order. A void order is void immediately. No undertaking is required to stay a nullity. A court cannot enforce what never lawfully existed.” (GPG Opp., 4:19-23.)

The Court does not find the Receiver’s Code of Civil Procedure section 917.5 argument controlling. According to case law, the statute’s predecessors (former Code of Civil Procedure sections 939 and 943) were

enacted to afford a remedy for “prodigal, unwise, and unwarranted appointments of receivers,” not void orders. ((In re Ringgold (2006) 142 Cal.App.4th 1001, 1010 [stating that current CCP section 917.2 is “in part derived” from former section 943]); ((Jacobs v. Superior Court of San Joaquin County (1901) 133 Cal. 364, 365–366 [“Formerly ... there was no appeal from an order appointing a receiver, but in 1897 ... section 939 of the Code of Civil Procedure was amended so as to allow such appeal; and at the same time section 943 was amended so as to provide for the staying of an order appointing a receiver by an undertaking on appeal. These amendments were apparently intended to afford a remedy for prodigal, unwise, and unwarranted appointments of receivers...”].) The Receiver did not cite (and the Court has not found) any authority supporting the Receiver’s implied argument that section 917.5 applies to void orders appointing receivers.

B. Personal Versus Subject Matter Jurisdiction under Sullivan

The Receiver also asserts that “California law has long recognized that a receiver who serves in good faith is entitled to be paid from the estate, notwithstanding an irregularity in the appointment, a dismissal of the underlying case, or a judgment in favor of the defendant, and even if estate funds are insufficient.” (Supp. Mot. 2/13/26, 3:3-5.) The Receiver asserts, “[i]n Andrade v. Andrade (1932) 216 Cal. 108 [(Andrade)], a receiver was appointed over property that the California Supreme Court later determined to belong to a party who had ‘resisted the taking of her property by the receiver,’ which defeated the basis of the receivership. (Id. at p. 109; 111-12.) Nonetheless, the Andrade court approved the receiver’s final report, and ordered payment of his fees and expenses, explaining that the receiver’s fees are ‘a charge upon the property in the receiver’s possession,’ that may be ‘imposed upon the parties to the action,’ and that ‘[s]uch direct liability may result from an irregularity in the appointment.’ (Id. at p. 110.) Even if the receivership is improperly established, the receiver must ‘look for his compensation to the portion of the fund which was properly brought within his jurisdiction...[.]’ (Andrade, supra, 216 Cal. at p. 111.) Here, the procedural flaws that voided the Receiver’s appointment are not attributable to the Receiver, who faithfully performed his duties for eighteen months while no stay was in effect. As such, the Receiver’s compensation is properly charged against the funds in the receivership estate.” (Supp. Mot. 2/13/26, 3:9-20.)

However,

GPG points out that Andrade “is based on [a] Receiver appointed over a party that the Court had actual jurisdiction over...” (GPG Opp., 4:5-8; see Andrade, supra, 216 Cal. at p. 108 [“This is an appeal from an order discharging a receiver and directing plaintiff to pay his fees”]; id. at p. 110

[“In our opinion the order appealed from was, and is, a proper order”].)

Here, unlike in Andrade, the Court of Appeal found the trial court order appointing the Receiver was void. (See Court of Appeal Opinion, p. 16

[“[B]ecause Tani failed to establish his standing to assert a dissolution cause of action, the trial court abused its discretion in appointing a receiver. (See Rundos v. Superior Court (1957) 151 Cal.App.2d 190, 195 [“Where a complaint fails by its allegations to show that the conditions required by law have been complied with[,] an order for the appointment of a receiver is void for all purposes”])”].)

Thus,

GPG asserts that Andrade cannot control, and the applicable precedent is Sullivan, supra, 145 Cal. 759, where

“the California Supreme Court held that where a receiver is improperly or voidly appointed, the receiver’s compensation may not be charged against the estate or against parties not responsible for the appointment. The Court ... held that the party who procured the receivership is the proper party, if any, to compensate the receiver.” (GPG Opp., 6:23-27; see Sullivan, supra, 145 Cal. at p. 768 [“The cases are not infrequent where the court has settled the account of a receiver erroneously appointed, and made the amount a charge against the party who has procured the appointment, but no case has been brought to our attention where a court has made such an order when its own judicial act in appointing the receiver was nugatory and void for want of jurisdiction. The receiver is not obliged to accept such appointment, and in such a case as this, as the court was without power to appoint him, it must equally be without power to make any other order depending for its validity upon the order of appointment. The utmost that is left for a receiver appointed under such circumstances is his right of action for compensation against the party procuring his appointment.”].)

Opposing

Parties assert that equity does not create jurisdiction, and Sullivan forecloses the Court’s power to make any orders relating to an invalid appointment.

Opposing Parties also assert that an argument differentiating between personal and subject matter jurisdiction does not change the outcome because the Court of Appeal’s opinion identified two issues that make the court’s order

void: first, that GPG was never served, so the Court never had personal jurisdiction over GPG and, second, “Tani never satisfied the statutory ownership prerequisite of Corporations Code section 1800, so he had no standing to seek dissolution, and the appointment on that record was ‘void for all purposes’ under Rondos. (Opinion 16.) That is not a defect in the Court’s power over a particular party. It is a defect in the conditions the Legislature requires before any receiver may be appointed at all.” (Supp. Opp., 4:10-14.)

In the

Receiver’s supplemental brief from July 20, 2026, he first asserts that Sullivan, supra, involved a total lack of subject matter jurisdiction, rather than merely personal jurisdiction, which he contends is a key difference to the instant case. The Receiver asserts that “[i]f Sullivan applies here, the Court would be entirely without jurisdiction to enter any order pertaining to the Receiver, and the Receiver would be forced to file a separate lawsuit if he wished to recover fees owed to his office.” (Supp. Mot. 7/20/26, 3:9-12.) The Receiver discusses Sullivan, asserting that “[c]ritically, Sullivan itself provides that courts routinely settle the account of receivers who are ‘erroneously appointed’ and charge the amount to parties; what a court cannot do is award fees where its ‘own judicial act in appointing the receiver was nugatory and void for want of jurisdiction.’ (145 Cal. at p. 768 [‘The cases are not infrequent where the court has settled the account of a receiver erroneously appointed’].) Indeed, Sullivan distinguishes the two: a case where the court has no subject matter jurisdiction ‘does not present the case of a reversal of an order appointing a receiver for mere error or irregularity in its procurement. It presents the case of an order void for want of legal authority, where the receiver, in point of law, was not a receiver but a trespasser.’ (145 Cal. 759, 768.) The alternative rule for such cases, announced in passing in Sullivan – that the trial court can look to the parties to compensate an erroneously appointed receiver – is exactly the rule established in Andrade and relied upon by the Receiver here. This is a case where the Andrade rule applies.” (Supp. Mot. 7/20/26, 4:22-5:5.)

The

Receiver also asserts that “the failure to serve the corporation as a nominal party does not destroy subject matter jurisdiction or invoke the Sullivan rule. Specifically, a judgment entered against a defendant who was never served is void as to that defendant for want of personal jurisdiction.” (Supp. Mot.,

7/20/26, 6:13-15.)

In the

instant case, the Appellate Court explicitly stated that the order was void as to GPG. (See Court of Appeal Opinion p. 2 [“the orders as to the Restaurant are void.”]; p. 14 [“the trial court had no jurisdiction over the Restaurant when it made these orders, and as to the Restaurant, the orders are void.”].) The Receiver attempts to read these statements to demonstrate that the Court merely lacks personal jurisdiction, rather than subject matter jurisdiction, so the appointment is voidable rather than void. However, as Opposing Parties contend, “[t]he distinction makes no difference. The appointment is void on a ground that has nothing to do with personal jurisdiction — the statutory conditions for appointing any receiver were never met — and, regardless, a lack of jurisdiction over the affected party is fundamental jurisdiction, the same as a lack of subject matter jurisdiction. Equity cannot supply the power the remittitur withheld.” (Supp. Opp., 4:3-7.) Specifically, the Court of Appeal’s opinion cited *Rondos v. Superior Court, Solano County* (1957) 151 Cal.App.2d 190, 195, expressly quoting the following language: “Where a complaint fails by its allegations to show that the conditions required by law have been complied with, an order for the appointment of a receiver is void for all purposes.” This statement, read in conjunction with *Sullivan*, dissolves the subject matter jurisdiction and personal jurisdiction distinction. The Court of Appeal reversed on two separate grounds. First, the trial court’s appointment of the Receiver was void for failing to serve GPG and thereby acquire jurisdiction over the restaurant. Second, the entire appointment was void because the trial court abused its discretion in appointing the Receiver under Corporations Code section 1800 because Tani never satisfied the statutory ownership prerequisites. The Receiver’s personal jurisdiction argument cannot overcome the voidness of the failure to satisfy the statutory conditions.

Opposing

Parties’ reply papers assert that “[t]he Receiver’s own cases confirm that a failure of the statutory conditions is a void, not merely irregular, defect. The Receiver cites *Grant v. Los Angeles etc. R.R. Co.* (1897) 116 Cal. 71, 72, for the proposition that the appointment there was void because ‘the action was not one in which a receiver could be competently appointed.’ (Opp. 4.) That is this case. Tani never met section 1800’s one-third ownership threshold for a dissolution receiver. Grant went on to hold the derivative fee order equally void: ‘That order [appointing the receiver] being void, the present order must, of necessity, be held, as to appellant, likewise void.’ (Id.

at p. 74.) The dividing line Sullivan draws is not the label 'subject matter' versus 'personal' jurisdiction; it is whether the court had power to appoint a receiver in the action at all. Where the statutory predicate for any receiver is absent, it did not." (Reply, 2:24-3:4.) The Court finds similarly that, here, the Receiver was not "competently appointed" (see *Grant v. Los Angeles & P. Ry. Co.* (1897) 116 Cal. 71, 72), because the Receiver could not be legally appointed, and the trial court lacked the statutory predicate to appoint the Receiver.

As the Court of Appeal determined, and discussed above, the appointment of the Receiver is void, not merely voidable; the same scenario presented in *Sullivan*. (See *Sullivan*, *supra*, 145 Cal. at p. 768 ["where a court has made such an order when its own judicial act in appointing the receiver was nugatory and void for want of jurisdiction."].) Although the Receiver contends that determining that *Sullivan* controls would make this Court without jurisdiction to enter any order pertaining to the Receiver, this contention sweeps too broadly, as the Court may enter orders pursuant to the Appellate Court's opinion. (See Court of Appeal Opinion p. 17 ["The cause [sic] is remanded to the trial court for further proceedings consistent with the views expressed in this opinion."].)

C. The Court's Ability to Charge Fees Against Tani or Other Remaining Parties

Next, the question arises as to whether the Court may charge Tani, the individual who procured the appointment. Opposing Parties rely on *Sullivan*, *supra*, asserting that "[a] voidly appointed receiver's only recourse is a separate action against the party who procured the appointment — not a compensation order in this proceeding. And the complaint in which the receiver was sought has been dismissed." (Supp. Opp., 7:26-28.) As the court in *Sullivan* expressed, "an order void for want of legal authority, and where the receiver, in point of law, was not a receiver, but a trespasser." (*Id.* at p. 768.) Thus, "as the court was without power to appoint him, it must equally be without power to make any other order depending for its validity upon the order of appointment. The utmost that is left for a receiver appointed under such circumstances is his right of action for compensation against the party procuring his appointment." (*Ibid.*, emphasis added.)

The Receiver contends that "Baldwin answers the Court's question directly. There,

after the Supreme Court affirmed judgment for the defendant, the trial court found that the receivership had been procured on allegations ‘determined to be untrue’ and that ‘the appointment of said receiver herein was unnecessary, wrongful, improvident and without reasonable or probable cause.’” (Supp. Mot. 7/20/26, 8:5-8, citing Baldwin, supra, 82 Cal.App.2d at p. 856.) The Baldwin court then held that “the plaintiff, and not the defendant, should be the one charged with the fees and expenses connected with the ‘improvident’ receivership.” (Baldwin, supra, 82 Cal.App.2d at p. 856.) In doing so, the court applied the rule stated in Andrade. Specifically, where the Andrade court expressed: “We receive no impropriety in assessing the receiver’s fees and expenses against the plaintiff, who sought and procured his appointment, rather than against the defendant [] or her property. As a general proposition the costs of a receivership are primarily a charge upon the property in the receiver’s possession and are to be paid out of said property. However, this is not an invariable rule. In many cases a direct liability is imposed upon the parties to the action, or upon some of them, for the remuneration of the receiver.” (Andrade, supra, 216 Cal. at p. 110.) However, the Receiver’s authorities pertain to an irregular appointment, rather than a void appointment.

The Receiver also contends that “Sullivan is not to the contrary,” and asserts that “it did not hold that the appointing court is powerless to adjudicate that liability.” (Supp. Mot., 7/20/26, 8:15-18.) However, as quoted above, Sullivan did find that a receiver’s only recourse is a separate action. As Opposing Parties’ reply papers also point out, under Sullivan, “[t]he answer is settled,” and the Receiver’s “recourse is a separate action—not a fee order entered in the very proceeding the appellate court declared void.” (Opp. Parties’ Supp. Reply, 5:28-6:3.)

As for charging the parties that did not procure the appointment, Opposing Parties contend that “[i]f the Receiver cannot obtain a fee order against the procuring party in this proceeding, he certainly cannot obtain one against the parties who opposed the receivership Under Sullivan, the receiver’s only avenue is an action against the party who procured the appointment, and a void appointment will not support a fee order charged to the estate or to parties who did not procure it. [Citations.] The Defendants — Lin, Chen, Zheng, and Szeto — did not procure the receiver. They resisted it for more than two years, prosecuted the appeal, and obtained the ruling that voided it. Kent Tran

likewise never sought the appointment. Charging them the costs of a receivership they defeated would stand Sullivan on its head and would penalize the prevailing parties for prevailing." (Supp. Opp., 9:10-18.)

The

Receiver's arguments involve cases that do not address a void appointment, whereas here, the Court does not have the power to charge the parties to this case. (See *Ephraim v. Pacific Bank* (1990) 129 Cal.589, 592

["The rule that the compensation of a receiver is a charge upon the fund in his hands has been held not to apply, without qualification, to the case where the appointment was irregularly made and is vacated.' If he has taken property into his custody under an irregular, unauthorized appointment, he must look for his compensation to the parties at whose instance he was appointed; and the same rule applies if the property of which he takes possession is determined to belong to persons who are not parties to the action, and is taken from his possession by paramount authority."]; *City of Chula Vista v. Gutierrez* (2012)

207 Cal.App.4th 681, 686 ["A court may require one or more parties to pay for receiver fees where the property subject to the receivership is inadequate to compensate the receiver and/or where other equitable circumstances support imposing fees on a party. [Citations.] In considering the appropriate source for the compensation, a relevant factor is whether the party to be charged obtained a benefit from the receiver's services."].)

The clear

rule in *Sullivan* is that a void receiver, as a trespasser to the Court, must seek payment through a separate action. (See *Sullivan*, supra, 145 Cal. at p. 768 ["After the judgment declaring the grant of administration and all subsequent proceedings void, the petitioner will be regarded as a trespasser from the beginning. He cannot be regarded as a receiver whose possession is that of the court."].)

D. The Court's Ability to Order Disgorgement

Next, the Opposing Parties request

disgorgement for payments previously paid to the Receiver. Specifically, Opposing Parties assert that "[t]his is not a request for a freestanding 'disgorgement' remedy, and the Court need not find any new power to grant it. Under California Rules of Court, rule 3.1183(a), every dollar the Receiver drew during the receivership was an interim advance — expressly 'subject to final review and approval by the court,' which 'retains

jurisdiction to award a greater or lesser amount as the full, fair, and final value of the services received.’ The final accounting is now before the Court. Fixing the final allowed amount and truing up the advances against it is the ordinary business of a final accounting, not an extraordinary remedy. The Receiver is the agent of the court, not of any party (rule 3.1179(a)); the money he drew was never his to keep — it became his only to the extent, if any, the court allowed it as final compensation.” (Supp. Opp., 10:15-22.)

Opposing Parties further contend that “[h]ere the true-up is simple. Because the appointment was void, no compensation may be allowed from the estate or from the non-procuring parties (Parts IV through VII). The allowable amount is therefore zero — and the Court’s own tentative already denied approval of the final account, which is itself an allowance of zero. Every interim payment was thus an advance against an allowance that does not exist. Sullivan confirms the point from the other side: each interim fee order rested on the void appointment and is ‘itself void’ (Sullivan, *supra*, 145 Cal. at p. 769), and a receiver who “was not a receiver but a trespasser’ (id. at p. 768) gained no right to keep money drawn under void orders. The mechanics make the result concrete. The Receiver drew approximately \$557,511 in interim advances [confirm exact figure against the accounting]. Had the Court allowed \$300,000 as the final value of his services, he would have to return roughly \$257,511; had it allowed \$100,000, he would return roughly \$457,511; and because a void appointment permits an allowance of nothing, he must return all of it.” (Supp. Opp., 10:23-11:6.)

Opposing Parties assert that “[t]he Court is not being asked to invent a disgorgement remedy; it is being asked to adjust interim advances at the final accounting, exactly as rule 3.1183(a) contemplates. Independent authority confirms the power to order the funds returned: Code of Civil Procedure section 908 authorizes restitution of all things lost by reason of a reversed order, and a trial court whose order has been reversed ‘has the inherent authority to afford restitutionary relief.’ (Beach *Break Equities, LLC v. Lowell* (2016) 6 Cal.App.5th 847, 852-854.) Whether the Court calls the relief an adjustment of advances, a refund, or restitution, the Receiver must return what he drew from GPG-NBC under the void appointment, with interest from the dates of payment.” (Supp. Opp., 11:11-18.)

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Receiver asserts that Opposing Parties' approach "mischaracterize[s] Rule of Court 3.1183" and they "cite no case law supporting disgorgement of a receiver's fees and costs where an appointment was erroneous. Nor does any exist. As set forth above, all of the relevant authority under Sullivan, Andrade and the many cases decided pursuant to that authority, address how to pay a receiver where there has been an improvident or improper appointment – none of them discuss disgorgement of fees under such circumstances. And that is appropriate – the Receiver is a neutral with no personal interest in this matter, and to essentially punish him for the Court of Appeal's reversal is inequitable. Defendants correctly observe that interim fees are 'subject to final review and approval by the court,' which 'retains jurisdiction to award a greater or lesser amount as the full, fair, and final value of the services rendered.' (Cal. Rules of Court, rule 3.1183(a).) The fact that this Court has jurisdiction to review whether amounts actually paid are sufficient or not does not turn those amounts into 'advances.' Moreover, the account of a receiver is examined 'in a spirit of equity,' and the receiver is presumed honest until the contrary appears. (People v. Riverside University (1973) 35 Cal.App.3d 572, 586.) Defendants' submission that the full, fair, and final value of eighteen (18) months of administration is zero as a matter of law is not a valuation, but simply mirrors the Sullivan rule by another name, and fails for the reasons stated in Question One." (Supp. Mot. 7/20/26, 11:5-22, emphasis in original.)

The Receiver

also addresses Opposing Parties' argument regarding restitution under Code of Civil Procedure section 908, asserting that the Court's power to award restitution is "equitable and discretionary" and, "[h]ere the Receiver gained nothing as a litigant. The purpose of restitution is to restore to a party what its adversary gained through the reversed ruling, however, the Receiver is the neutral officer of the court. (Cal. Rules of Court, rule 3.1179(a).) Moreover, the Receiver's interim payments compensated services actually rendered under orders in full force. Belcher v. Aaron (1937) 8 Cal.2d 180 confirms this principle, as the receiver there was required to account only for rents collected after his appointment had been vacated. Defendants have not cited any law that would transform Section 908 from a discretionary remedy allowing the Court to equalize the parties into a mechanism requiring a forfeiture by the court's own officer. Moreover, the funds that ultimately paid the Receiver's fees and costs in this case were profits from the operation of the business that otherwise would have been distributed to the shareholders." (Supp. Mot. 7/20/26, 11:28-12:11.)

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Receiver further asserts that “Defendants cite no case, in California or anywhere, in which a court has ordered a receiver to disgorge fees and costs paid for services rendered. The lack of caselaw is telling, because disgorgement is an equitable remedy, and equity asks a question Defendants do not answer: disgorge to whom? The Receiver’s fees arose from administering the estate and providing services that preserved value. Returning the funds would not restore money to a wronged stranger, but would return it to the shareholders, the very parties over whom the Court has jurisdiction and against whom receivership costs may ultimately be allocated. Yet, Defendants’ theory cannot be right, because if this receivership is ‘void for all purposes,’ their refund demand would fail with it.” (Supp. Mot., 7/20/26.)

Given

that the Receiver’s appointment is void, the Court is limited in its powers to provide recourse. Opposing Parties contend that the Court may order disgorgement, which is an equitable remedy. Although now deemed a trespasser, the Receiver asserts that he is a neutral officer of the Court and equity does not demand disgorgement. However, Opposing Parties have not cited (and this Court has not found) any authority authorizing an order disgorging fees previously paid to the Receiver. Similarly to the Court’s inability to charge Tani or the other parties with the Receiver’s fees, the Court lacks jurisdiction to enforce equitable remedies. Likewise, the Court cannot grant the Receiver’s final accounting. The Court finds it is without authority to order disgorgement.

E. The Disposition of the \$150,000 the Receiver Holds

Lastly, at issue is the \$150,000 that the Receiver withdrew as a reserve fee from GPG’s accounts when operations terminated. Opposing Parties assert that the Receiver “acknowledged on the record that no portion of it was earned, and that his fees cannot be charged to the corporate estate in any event... No order has ever allowed the Receiver to keep the \$150,000 — the Court’s own tentative denied the final account — so it remains GPG-NBC’s identifiable property, held without authority, and it must be returned now. The suggestion that GPG-NBC cannot receive the funds because it is dissolved is wrong as a matter of law. A dissolved California corporation ‘continues to exist for the purpose of winding up its affairs, prosecuting and defending actions by or against it,’ and collecting and dividing its assets. (Corp. Code, § 2010, subd. (a).) GPG-NBC retains full capacity to receive and hold its own funds during winding up. There is no

obstacle — and no further motion required — to returning the \$150,000 to it.” (Supp. Opp., 11:22-12:5.) Opposing Parties cite *North v. Cecil B. De Mille Productions* (1934) 2 Cal.2d 55, 58, where the Supreme Court stated that “[t]he receiver acquires no title, but only the right of possession as the officer of the court. The title remains in those in whom it was vested when the appointment was made. The object of the appointment is to secure the property pending the litigation, so that it may be appropriated in accordance with the rights of the parties as they may be determined by the judgment of the action... When a receiver pendente lite is appointed, the legal title remains in the individual or corporation whose property is placed in the hands of a receiver. However, the receiver has complete dominion over the property, subject to the orders of the court; he holds it for the benefit of others; he has possession. All the title, if any, which remains in the individual or corporation is merely the formal legal title which is held by it in trust for the receiver, which title it could be compelled by the court at any time to convey to the receiver for the purposes of the trust.” (Internal quotations omitted.)

The Receiver agrees that under Corporations Code Section 2010, subdivision (a), a “dissolved corporation continues to exist for purposes of winding up and may sue and be sued in that capacity,” so, since GPG is “specially appearing” before the Court, “claims to the funds can be adjudicated with all claimants present.” (Supp. Mot. 7/20/26, 13:25-26, 14:5.) The Receiver further asserts that “as a neutral officer of the Court, [he] cannot determine competing claims to the fund and must instead hold [the \$150,000] pending a court order directing its disposition. (Cal. Rules of Court, rule 3.1179(a).)

Here, three sets of claims attach to this fund: first, the Receiver’s claim for the allowed costs of administration; the shareholders’ claims, which Tani, Defendants, and Kent Tran have each asserted (RT 29:3-8); and any remaining creditor claims in the winding up. These claims set up the classic posture of interpleader, and the law does not force the stakeholder to choose among claimants at his peril, but brings all claimants before one court to adjudicate entitlement... Moreover, because GPG-NBC has dissolved, any distribution must flow to those persons entitled to the corporation’s remaining assets after satisfaction of claims. The Court can therefore resolve all competing claims in its final ruling and direct distribution accordingly.” (Supp. Mot. 7/20/26, 15:3-16.)

Opposing Parties’ reply contends that “GPG-NBC retains full capacity to receive its own funds during winding up (Corp. Code, § 2010, subd. (a)) and—being dissolved,

not suspended—is not disabled from appearing... The Receiver's suggestion that Defendants previously described these funds as shareholder money does not change their character. Undistributed corporate funds remain corporate property until a distribution is declared; a shareholder's expectancy of an eventual distribution is not title." (Supp. Reply, 9:25-10:2.) Further, Opposing Parties assert that "[n]or does interpleader warrant continued retention. That remedy is available to a stakeholder who claims no interest in the fund; a party who asserts his own claim to the money he proposes to deposit is not disinterested, and the Receiver claims the very fund he offers to interplead. (See Code Civ. Proc., § 386, subd. (b).) Any distribution among the corporation's owners, and any claim against a shareholder's interest by a judgment creditor or lienholder, is a matter for the winding up; none of it justifies the Receiver's continued retention of corporate funds." (Supp. Reply, 10:8-13.)

As stated in North

v. Cecil B. De Mille Productions, supra, 2 Cal.2d at p. 58, the property that the Receiver holds, i.e., the \$150,000, is rightfully GPG's property. Although the corporation has dissolved, it is in the process of winding up, and as Corporations Code section 2010, subdivision (a) provides, "[a] corporation which is dissolved nevertheless continues to exist for the purpose of winding up its affairs, prosecuting and defending actions by or against it and enabling it to collect and discharge obligations, dispose of and convey its property and collect and divide its assets, but not for the purpose of continuing business except so far as necessary for the winding up thereof." Opposing Parties properly contend that, regardless of the different claims parties have made to the \$150,000 in the Receiver's possession, that money is GPG's, and GPG will assess how it must be apportioned as part of winding up. Accordingly, the Court finds that the Receiver must return the \$150,000.

F. Suing the Receiver for Misconduct

Finally,

GPG asserts the following: "GPG and its affected innocent parties seek to also sue the Receiver for misconduct in addition to acting without jurisdiction. In the avoidance of doubt, while this request is not necessary based on prevailing undisputed law, only a validly appointed Receiver by a Court with jurisdiction may claim quasi-immunity and require parties to seek leave of Court before suing the Receiver. *Ostrowski v. Miller* (1964) 226 Cal.App.2d 79 [Ostrowski]. To avoid further costs and

unnecessary delays, GPG and the Defendants respectfully request this Court to confirm that this Court follows the Appellate Court decision and will not require GPG and all affected parties regarding this lack of jurisdiction Receiver appointment as to this action to request leave from this Court to sue the Receiver. Simply stated, the affected parties request an order from this Court that Ostrowski authority is not required to pursue an action against Mr. Singer, his employees, and his agents. See *Ostrowski v. Miller* (1964) 226 Cal.App.2d 79 seeking leave of Court to sue a Receiver only applies and assumes a validly appointed Receiver by a Court that had jurisdiction when the Receiver was appointed.) This Court should expressly confirm that no leave of court is required.” (GPG Opp., 7:13-26.)

“A receiver

is a court-appointed official who can be sued only by permission of the court appointing him. [Citation.] The rule is established to protect receivers from unnecessary litigation. The law is accurately set forth in 42 California Jurisprudence 2d, Receivers, section 92, page 387, as follows:

‘The court that appointed a receiver may grant leave to sue him in an independent action, or it may deny leave and require the claimant to intervene in the receivership proceedings to assert his claim. Although in a proper case leave to sue the receiver in another court will not be denied, and under some situations the denial of leave may amount to an abuse of discretion, ordinarily the court has a wide discretion in the matter. It may not properly refuse leave to sue when it cannot afford in intervention the same relief as the applicant is entitled to in an independent action, or when, by virtue of a statute or constitutional provision, a particular kind of action must be brought in a jurisdiction other than that in which the original special proceeding is pending. But permission may be denied where full relief can be granted by intervention in the original proceeding. The more common practice, and the one generally recommended, is to hear and determine all rights of action and demands against a receiver by petition in the cause in which he was appointed.’” (Ostrowski, *supra*, 226 Cal.App.2d at p. 84.)

Here,

the Court agrees with the Receiver that “the request for a declaration that ‘no leave of court is required to sue the Receiver’ ... is not properly before the Court on this motion and seeks an advisory opinion.” (Omnibus Reply, 12:1-2.)

Therefore,

the Opposing Parties' request for leave not to be required to sue the Receiver is denied without prejudice. The opposing parties may raise that issue in a properly noticed motion.

Conclusion

Based

on the foregoing, the Receiver's Motion for Final Accounting is DENIED IN PART as follows: The request for approving and settling the Receiver's final report and accounting is DENIED. The request allowing the Receiver to pay his outstanding fees and expenses is DENIED. The request for an order terminating the receivership is GRANTED. The request for an order retaining jurisdiction over the issue regarding the Opposing Parties' permission to sue the Receiver is GRANTED. The \$150,000 in the Receiver's trust account is ordered returned to GPG. The Opposing Parties' request for disgorgement is DENIED. The Opposing Parties' request for an order exempting them from the requirement of obtaining permission to sue the Receiver is DENIED, without prejudice.

Opposing

Parties are ordered to give notice of this Order.

DATED: September 14, 2026

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior
Court

[1] The opposition was specially joined by non-parties GPG and Kent Tran.